

****Statement on the Application of the Exception to the Duty of Disclosure****

Date: 04-12-2023

Decision

Public Authorities

Response to Inquiry

Duty of Disclosure

Guidance Statement Regarding

Article 14, Paragraph 5,

Letter c of the Data Protection Regulation.

Journal Number: 2023-212-0030.

****Summary****

The Danish Data Protection Agency has assessed, at the request of the Danish Agency for Education and Research, whether the agency can refrain from informing parents that information about their income is processed for the purpose of calculating educational support, referring to the fact that the processing of the information is expressly stipulated in legislation.

****Statement****

1. The Danish Agency for Education and Research (hereinafter "UFS") requested a guidance statement from the Danish Data Protection Agency on August 17, 2023, regarding Article 14, Paragraph 5, Letter c of the Data Protection Regulation.

2. It is the assessment of the Danish Data Protection Agency that it is questionable whether UFS can refrain from informing parents that information about their income is processed for the purpose of calculating educational support pursuant to the SU Act's [2] § 25, Paragraphs 5 and 6, and § 39, Paragraph 1, with reference to Article 14, Paragraph 5, Letter c of the Data Protection Regulation. This assessment is elaborated upon below.

3. UFS grants SU scholarships, supplements, etc., to students who meet the conditions for receiving SU. In the following situations, UFS must use parents' income information to assess how much a student can receive in SU:

- When the student lives at home, or
- When the student is 18 or 19 years old, living away from home, and attending a youth education program.

The rules regarding this are found in the SU Act's § 25, Paragraphs 5 and 6:

"Paragraph 5. Supplements under Paragraph 4 and supplementary scholarships under § 11 are granted if the parents' total income in the second calendar year prior to the support year does not exceed DKK 333,504, subject to Paragraphs 6 and 7. The supplement and the supplementary scholarship under § 11 are reduced with a higher income basis and are completely forfeited at an income basis of DKK 564,391 or more. For students who receive a basic scholarship with a living-away-from-home rate under Paragraph 2, the supplement and the supplementary scholarship under § 11 are only granted if the total income does not exceed DKK 322,629. The supplement and the supplementary scholarship under § 11 are completely forfeited at an income basis of DKK 563,770 or more. The monetary limits are indicated at the level used for granting supplements to the basic scholarship in 2015.

Paragraph 6. If the student who receives a basic scholarship under Paragraph 1, No. 1, has a registered address with one of their parents and that parent's spouse or registered partner, the total income for these individuals is used in calculating the size of the supplement under Paragraph 5."

The legal basis for obtaining information is found in the SU Act's § 39, Paragraph 1. It states:

"The Agency may obtain information from the tax authorities, the Central Person Register, and other authorities, as well as from educational institutions, about the student and their spouse or partner, the student's children, and the student's parents or one parent's spouse or registered partner, that is necessary for the allocation, calculation, and repayment of educational support, including information about income and asset conditions, residence, the basis for residence for foreign nationals, the number of the applicant's and their parents' or one parent's children under 18 years of age, and educational information, including enrollment information for students enrolled in an eligible education

program but who have not applied for SU. The Agency may also gain terminal access to the information mentioned in the first sentence in the income register, cf. § 7 of the Act on an Income Register, and may obtain information about income and income periods in electronic form in the income register in connection with determining whether a student has the right to SU as a worker or self-employed person or as a family member of a worker or self-employed person under EU law, cf. § 2 b, Paragraph 1, No. 2, and rules established under § 2 b, Paragraph 2, and in connection with the final allocation, cf. § 22 a.”

UFS has stated that “Although the provision states that it can obtain information about the student's parents, including income and asset conditions, it will in all cases where a student's SU rate is dependent on parental income be information that the agency must use in order to allocate the student's SU. It is thus necessary for UFS to obtain the information to make a correct allocation.”

4. It follows from Article 14 of the Data Protection Regulation that if personal data has not been collected from the data subject, the data controller provides the data subject with the information specified in Paragraph 1, Letters a-f, and the information according to Paragraph 2, Letters a-g, that is necessary to ensure fair and transparent processing.

If and to the extent that collection or disclosure is expressly stipulated in EU law or the national law of the member states to which the data controller is subject, and which stipulates...

appropriate measures for the protection of the data subject's legitimate interests, it follows, however, from Article 14, paragraph 5, letter c of the Data Protection Regulation, that the above provisions do not apply.

It is the opinion of the Data Protection Agency that the requirement for explicitness implies that there must be no doubt as to whether it is stipulated in the legislation that the data controller must collect or disclose information.[3]

Furthermore, it is the opinion of the Data Protection Agency that the requirement for explicitness entails that there must be a genuine obligation to collect or disclose information, and it must be clear from this obligation which information is to be collected or disclosed.

This is because, in these cases, it will be clear to the data subject (through notification in the Official Gazette) that information about them will be collected or disclosed and which information it will be.

It will thus not be sufficient for the law to provide a possibility to collect or disclose information, as it will not be clear to the data subjects under such a provision that information will be registered or disclosed and which information it will be.

The provisions in the SU Act's § 25, paragraphs 5 and 6, in conjunction with § 39, paragraph 1, which, by its wording, gives the agency the opportunity to collect a range of different information, including about the income and wealth circumstances of the educational applicant's parents, the possible spouse, partner, or registered partner of one parent, and the number of their children under 18 years, do not, in the opinion of the Data Protection Agency, provide sufficient clarity for the data subject regarding whether information about them is being obtained and, if so, which information is involved.

Based on this, it is the assessment of the Data Protection Agency that § 25, paragraphs 5 and 6, and § 39, paragraph 1 of the SU Act cannot, to the necessary extent, be considered to "explicitly stipulate collection/disclosure" in accordance with Article 14, paragraph 5, letter c of the Data Protection Regulation.

[1] Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation).

[2] LBKG no. 395 of April 13, 2023, on state educational support.

[3] Ministry of Justice, The Data Protection Regulation – and the legal framework for Danish legislation, Report no. 1565, Part I, Volume 1, pp. 300-301.